

Value Creation Models

What is Value Creation in Digital Business?

Value creation means **making something useful, meaningful, or beneficial** for customers and other stakeholders.

In business terms:

- Customers receive **benefits** (convenience, savings, entertainment, speed, access).
- Businesses receive **returns** (revenue, data, loyalty, growth).
- Society may receive **jobs, efficiency, inclusion**.

In traditional business:

- Value was created mainly by **producing and selling products**.
- Example: A factory makes shoes → sells shoes → earns profit.

In digital business:

- Value is created through **interactions, data, platforms, and experiences**.
- Example: TikTok creates value without producing videos itself.
- From “*making products*” → “*enabling value through digital systems*”.

Value Creation in Digital Ecosystems

A **digital ecosystem** is a network of:

- **Users**
- **Content creators / service providers**
- **Partners**
- **Platform owners**

All of them **co-create value**.

Value Creation in Digital Ecosystems

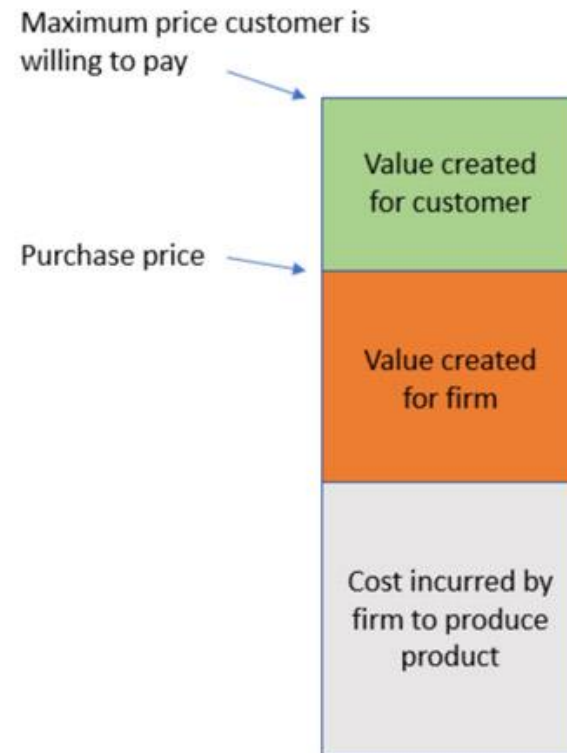
Example: TikTok Ecosystem

- Creators create videos
 - Users watch, like, comment, share
 - Algorithm analyzes behavior
 - Advertisers reach targeted audiences
 - TikTok orchestrates everything
- ➡ Value is created not by one actor, but by the entire ecosystem.

Nepal example: Pathao

- Riders create demand
 - Drivers supply services
 - Restaurants join delivery
 - Pathao coordinates matching, pricing, payments
- ➡ Without drivers or riders, Pathao has no value.

What is Value Creation in Digital Business?



Key Features of Digital Value Creation

- **Customer-centricity:** value starts with deeply understanding user needs and solving real problems.
- **Innovation & differentiation:** new features or services that competitors don't offer.
- **Efficiency & cost optimization:** digital systems reduce waste and improve performance.
- **Sustainability & stakeholder value:** benefits customers, employees, partners, and society.
- Digital firms must align value with **customer expectations, adaptability, and future growth.**

Data-Driven Value Creation

- In digital business, **data is the most important asset.**
- Platforms collect data such as:
 - Clicks
 - Searches
 - Location
 - Time spent
 - Preferences
 - Purchase history

Data-Driven Value Creation

- How data creates value:
- **Understanding users**
 - What they like, need, avoid
- **Personalization**
 - Customized feeds, prices, recommendations
- **Efficiency**
 - Faster matching, less waste
- **Continuous improvement**
 - Products evolve with usage
 - Example: TikTok
- Tracks watch time, scroll speed, likes
- Learns user interests
- Shows more relevant content
- Users stay longer → more value created

Data-Driven Value Creation

- Nepal example: Pathao
- Uses ride data to:
 - Predict demand
 - Reduce waiting time
 - Optimize pricing
 -  More data → better service → more users → more data
This is a value creation loop.

Data Monetization

- **Data monetization** means using data to generate:
 - Revenue
 - Strategic advantage
 - Better decision-making
 - Important point:
 - Most companies **do NOT sell raw data**.
They monetize **insights from data**.
 - Ways data is monetized:
 - **Advertising**
 - **Personalized offers**
 - **Dynamic pricing**
 - **Improved retention**
 - **New services**

Data Monetization

Example: Google

- Users search for information (free)
- Google learns intent
- Advertisers pay to target those users
- Users get relevant ads

Nepal example:

- E-commerce apps analyze:
 - Buying patterns
 - Popular products
 - Seasonal demand
- Use insights to:
 - Adjust pricing
 - Promote products
 - Improve inventory
 -  Value is created **without charging users directly.**

Digital Advertising as Value Creation

Traditional view:

- Advertising = annoying interruption

Digital view:

- Advertising = **value matching**

How ads create value:

- Users see **relevant offers**
- Businesses reach **interested customers**
- Platforms earn revenue
- Services remain **free or low-cost**

Digital Advertising as Value Creation

Example: Instagram Ads

- Based on:
 - Interests
 - Follows
 - Engagement
- More useful than random TV ads

Nepal context:

- Online news portals use ads to:
 - Offer free content
 - Support journalism
 - Reach local businesses
- ➡ Ads become part of the **value exchange**, not just monetization.

Platform Orchestration

Designing, managing, and controlling how value is created and exchanged.

Platforms decide:

- Who can join
- How matching happens
- Pricing rules
- Quality standards
- Incentives and penalties

Platform Orchestration

Example: Uber

- Matches riders & drivers
- Sets pricing algorithm
- Handles payments
- Enforces ratings

Uber doesn't drive cars — it **orchestrates value creation**.

Nepal example: Pathao

- Controls:
 - Driver onboarding
 - Fare calculation
 - Ride assignment
 - Dispute resolution
- ➡ Good orchestration = trust, efficiency, and scale.

Multi-Stakeholder Value

- Value creation is not limited to customers — it includes **employees, partners, and communities.**
- Digital firms invest in:
- **Employee engagement** → innovation and productivity
- **Stakeholder alignment** → trust and cooperation
- **Sustainable practices** → long-term ecosystem health
- Firms that embed long-term value succeed in **competitive and disruptive markets**

Multi-Stakeholder Value

- Modern digital businesses aim to create value for:
- **Customers** (convenience, affordability)
- **Partners** (income, access to market)
- **Employees** (skills, innovation)
- **Society** (inclusion, efficiency)

Multi-Stakeholder Value

- Example: Digital Payments in Nepal
- Users: easy transactions
- Merchants: more customers
- Platforms: data + fees
- Society: reduced cash dependency

Simplified Table

Value Creation Model	How Value is Created	Examples
Platform / Ecosystem	Connect participants; orchestrate interactions	TikTok, Pathao
Data-Driven / Personalization	Use data to tailor services & optimize operations	TikTok, Pathao
Data Monetization	Turn insights into revenue or strategic advantage	Google Ads, Nepali e-commerce
Advertising / Attention	Match users with relevant offers	Instagram, Nepali news portals
Multi-Stakeholder / Inclusive	Benefits for customers, partners, employees, society	eSewa, Pathao
Experience-Based	Enhance user experience & convenience	TikTok, Pathao
Value Creation Loop	Continuous improvement via feedback & engagement	TikTok, Pathao

Value Creation Framework (Simplified)

- **Inputs:** technology, data, capital, people
- **Process:** analyze needs → build solutions → personalize experiences
- **Outputs:** products/services, insights, improved engagement
- **Impact:** user satisfaction, profitability, ecosystem growth
- This structured view shows how digital firms continuously transform value, not just capture it.

Example 1: Ride-Hailing App (Pathao / Uber)

Step 1: Inputs

- **Technology:** Mobile app, GPS, payment system
- **Data:** Location, ride history, peak hours
- **People:** Drivers, riders, support team
- **Capital:** App development, marketing

Step 2: Process

- Understand need for **fast, affordable transport**
- Analyze ride demand and driver availability
- Design **real-time matching system**
- Personalize pricing and driver suggestions

Example 1: Ride-Hailing App (Pathao / Uber)

Step 3: Outputs

- **Service:** On-demand rides
- **Experience:** Quick booking, cashless payment
- **Insights:** Traffic and demand patterns
- **Connections:** Drivers ↔ Riders

Step 4: Impact

- High user satisfaction
- Repeat usage and loyalty
- Commission-based revenue
- Growing transport ecosystem

Example 2: Social Media Platform (TikTok / Instagram)

Step 1: Inputs

- **Technology:** AI algorithms, cloud servers
- **Data:** Likes, watch time, comments
- **People:** Creators, viewers, advertisers
- **Capital:** Platform infrastructure

Step 2: Process

- Understand user desire for **entertainment**
- Analyze viewing behavior
- Design recommendation algorithm
- Personalize content feed

Example 2: Social Media Platform (TikTok / Instagram)

Step 3: Outputs

- **Service:** Short-form video content
- **Experience:** Highly engaging feed
- **Insights:** User interests and trends
- **Connections:** Creators ↔ Viewers

Step 4: Impact

- Long user engagement
- Strong creator loyalty
- Advertising revenue
- Expanding digital creator economy

Example 3: Digital Payment App (eSewa / Khalti)

Step 1: Inputs

- **Technology:** Secure payment gateway
- **Data:** Transaction history
- **People:** Users, merchants, partners
- **Capital:** Financial and regulatory setup

Step 2: Process

- Understand need for **easy digital payments**
- Analyze spending and usage data
- Design multi-service payment app
- Personalize offers and reminders

Example 3: Digital Payment App (eSewa / Khalti)

Step 3: Outputs

- **Service:** Digital payments & bill pay
- **Experience:** Fast and secure transactions
- **Insights:** Spending patterns
- **Connections:** Users ↔ Merchants

Step 4: Impact

- Trust and daily usage
- Merchant adoption
- Transaction fee revenue
- Digital financial ecosystem growth

Key Takeaways

- Value creation is about **turning digital interactions into meaningful benefits** for all stakeholders.
- **Data, personalization, and technology** are core engines of digital value.
- Digital value extends beyond revenue — it includes **customer satisfaction, innovation, and ecosystem health**.
- Platforms must balance value for users, partners, and society to sustain growth.